Ellery Partners

Transaction services | Financial due diligence

Financial Statements Summary and Due Diligence

Pinnacle Education Group Ltd: FY26 audited results and refinance analysis

Prepared for Quillwood Credit Partners

Prepared by Ellery Partners

4 September 2026

Version 1.0, confidential

Reference: EP-FDD-2026-0904-PEG

Date: 4 September 2026

Synthetic - for demonstration. All names, entities and figures are fictional.
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Borrower	Pinnacle Education Group Ltd
ABN	15 734 984 518
Registered office	Level 14, 200 Queen Street, Melbourne VIC 3000
Sector	Education, independent K-12 schools
Proposed facility	A$140M senior secured term loan (refinance), 60 months
Financial year end	30 June 2026 (FY26)
Statutory auditor	Tarrant Meyer Chartered Accountants
Prepared for	Quillwood Credit Partners
Prepared by	Ellery Partners
Date and version	4 September 2026, version 1.0

Document details

1. Purpose, scope and basis of preparation

Quillwood Credit Partners has asked Ellery Partners to summarise the audited financial statements of Pinnacle Education Group Ltd (the Group) for the year ended 30 June 2026 and to provide a financial due diligence view on the Group's capacity to service and ultimately refinance a proposed A$140M senior secured term loan. The facility will refinance existing bank debt of A$140M. It is secured by first registered mortgages over the nine freehold campuses and a general security deed over the Group.

Our work is based on the following materials: the signed FY26 financial statements and audit report of Tarrant Meyer Chartered Accountants; the Information Memorandum dated 20 July 2026 prepared by Aldwych Corporate Advisory Pty Ltd; the independent valuation by Halvorsen Whitlam Valuers Pty Ltd dated 14 August 2026; and the quantity surveyor's report by Brennan Carlisle Quantity Surveyors Pty Ltd dated 21 August 2026. Comparative figures for FY24 and FY25 are drawn from the prior year statements. We have not performed an audit and have not re-performed the auditor's procedures.

All amounts are in Australian dollars. Figures are rounded to one decimal place in A$M unless stated, so totals may differ by 0.1 from the sum of components. Pro forma measures assume the refinance is completed on the terms indicated in the Information Memorandum, namely 3M BBSW plus 3.25% p.a., a 1.50% upfront fee, quarterly interest, 1.0% p.a. scheduled amortisation and a bullet balance at maturity. Where we derive a measure that is not stated in the statements, we say so.

The Group's October 2026 management accounts (due 9 October 2026) and the term sheet (expected 23 October 2026) post-date this report. We will update our findings on receipt of the management accounts.

2. Summary of findings

The Group is a mature, cash generative operator with a stable enrolment base, a clear freehold asset backing and moderate leverage. The audited FY26 result is consistent with the figures in the Information Memorandum. The principal credit sensitivities lie in the cash cost of the committed campus works program, labour cost growth and the floating rate, bullet structure.

- Revenue of A$312.0M in FY26, up 5.1% on FY25. EBITDA of A$48.0M, up 7.1%, with margin rising from 15.1% to 15.4%.
- Pro forma gross debt of A$140.0M and cash of A$22.0M give net debt of A$118.0M. Net leverage is 2.5x and gross leverage is 2.9x EBITDA.
- Loan to value ratio (LVR) is 34.1% against the Halvorsen Whitlam freehold valuation of A$410M.
- Pro forma interest cover is 4.8x, based on annual facility interest of about A$10.0M. This implies an all-in rate of about 7.1%, which assumes a 3M BBSW of about 3.9%.

- Operating cash flow after interest and tax was A$36.4M. After capex, lease payments and dividends, cash rose by A$1.0M to A$22.0M.
- On FY26 run-rate cash flows, the A$36M committed works program is likely to consume most of the cash available after debt service, maintenance capex and lease payments. Liquidity and distribution settings therefore need attention in the documentation.

Metric	FY26	Basis
Revenue	A$312.0M	Audited
EBITDA	A$48.0M	Audited, post AASB 16
EBITDA margin	15.4%	Derived
Gross debt (pro forma)	A$140.0M	Facility limit
Cash	A$22.0M	Audited
Net debt	A$118.0M	Derived
Net leverage	2.5x	Net debt / EBITDA
Gross leverage	2.9x	Gross debt / EBITDA
LVR	34.1%	Debt / A$410M valuation
Interest cover	4.8x	EBITDA / A$10.0M interest

Table 1: Headline financial metrics at 30 June 2026

3. Group overview

The Group operates 11 independent K-12 schools: seven in Victoria and four in New South Wales. Enrolments for the 2026 school year are 9,640 students against combined capacity of 10,900, an occupancy rate of 88.4%. Student retention is 93.5%. The Group employs 1,420 full time equivalent staff. Nine campuses are freehold and two are leased.

Pinnacle College Kew opened in Melbourne in 1998 with 310 students. Pinnacle Education Group Ltd was incorporated as a public company in November 2007 to consolidate the Victorian campuses under one board. The Group acquired two Sydney north-west schools in June 2014, opened the Pinnacle Wyndham campus in January 2021 and reached 11 schools in 2023 following two further New South Wales acquisitions.

The Group has a widely held share register and is governed on listed-company lines, with an independent chair (Margaret Ashby), a board audit and risk committee and continuous disclosure style reporting. Its shares are not quoted on a securities exchange. David Hartnett is Managing Director and Chief Executive Officer, and Priya Bancroft is Executive Director and Chief Financial Officer. There is no private equity sponsor. The Group has no corporate or ownership connection to Pinnacle Early Learning, an unrelated early childhood operator, and nothing in the financial statements indicates related party dealings with it.

4. Income statement

4.1 Three year summary

A$M	FY24	FY25	FY26
Revenue	281.0	297.0	312.0
Employee expenses	(172.5)	(181.0)	(190.0)
Other operating expenses	(67.0)	(71.2)	(74.0)
EBITDA	41.5	44.8	48.0
Depreciation and amortisation	(19.0)	(20.0)	(21.0)
EBIT	22.5	24.8	27.0
Finance costs	(10.5)	(11.2)	(11.0)
Profit before tax	12.0	13.6	16.0
Income tax expense	(3.6)	(4.1)	(4.8)
Net profit after tax	8.4	9.5	11.2

Table 2: Condensed consolidated income statement, years ended 30 June

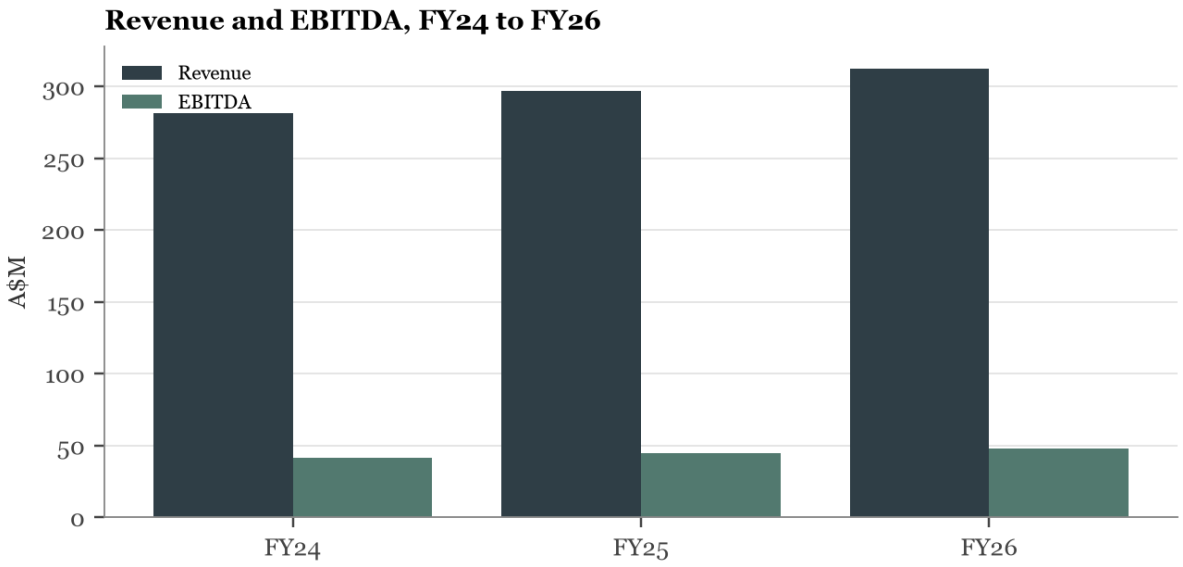


Figure 1: Revenue and EBITDA grew in each of the last three years. Source: audited financial statements.

4.2 Revenue

FY26 revenue of A$312.0M equates to about A$32,400 per enrolled student. Revenue growth of 5.7% in FY25 and 5.1% in FY26 reflects fee increases together with enrolment growth, with student numbers rising from 9,180 in 2024 to 9,410 in 2025 and 9,640 in 2026. Enrolment growth of about 2.5% a year therefore explains roughly half of revenue growth, with the balance from fee and funding rate increases.

Revenue stream	A$M	Share
Parent-funded fees	212.0	68.0%
Commonwealth and state recurrent funding	90.5	29.0%
Ancillary income	9.5	3.0%
Total revenue	**312.0**	**100.0%**

Table 3: FY26 revenue by source

Government funding of A$90.5M is about A$9,400 per student and is the main policy exposure. Fee revenue of A$212.0M is about A$22,000 per student. Fees are billed in advance by term, which supports the contract liability balance discussed in section 5. Ancillary income, which we understand to include outside school hours care, uniforms and facility hire, is small and not a driver of credit quality.

4.3 Costs and margin

Employee expenses of A$190.0M were 60.9% of revenue in FY26, unchanged on FY25 and down from 61.4% in FY24. This is the largest cost line and averages about A$134,000 per full time equivalent employee, including on-costs. Other operating expenses were A$74.0M, or 23.7% of revenue. The margin gain over two years of 0.6 percentage points came mainly from operating leverage on non-staff costs as enrolments rose.

Management has not presented normalisation adjustments, and the A$48.0M EBITDA used in this report is the statutory figure. We reviewed the expense notes for items that would typically be excluded, such as acquisition costs, restructuring or impairment charges, and identified none of significance in FY26. EBITDA is stated after the adoption of AASB 16, so lease costs for the two leased campuses sit in depreciation and finance costs rather than in operating expenses. Cash lease payments in FY26 were A$5.4M. A lender assessing leverage on a pre-AASB 16 basis would deduct that amount from EBITDA, giving about A$42.6M and gross leverage of 3.3x. We recommend the covenant definitions state the basis clearly.

Finance costs of A$11.0M comprise about A$9.0M of interest on bank debt and A$2.0M of interest on lease liabilities. The effective tax rate was 30.0%. Net profit after tax of A$11.2M was up 17.9% on FY25.

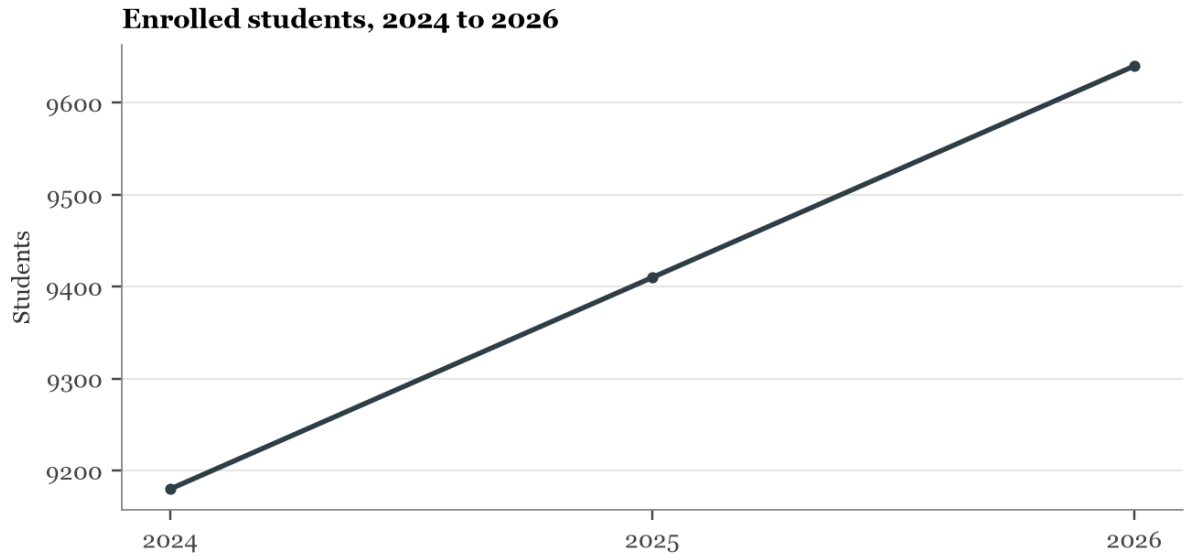


Figure 2: Enrolments rose by about 2.5% a year. Capacity is 10,900 students in 2026.

5. Balance sheet

A$M	30 June 2026
Cash and cash equivalents	22.0
Trade and other receivables	15.0
Prepayments and other assets	6.0
Property, plant and equipment	359.0
Right-of-use assets	38.0
Intangible assets	12.0
Total assets	452.0
Trade payables and accruals	31.0
Contract liabilities (fees in advance)	46.0
Employee provisions	25.0
Lease liabilities	39.0
Borrowings (existing bank debt)	140.0
Deferred tax liability	14.0
Total liabilities	295.0
Net assets	**157.0**

Table 4: Condensed consolidated balance sheet at 30 June 2026 (share capital A$85.0M, retained earnings A$72.0M)

Property, plant and equipment of A$359.0M includes freehold land and buildings at a carrying value of A$318.0M, held at cost less accumulated depreciation, with the balance in plant, equipment and works in progress. Halvorsen Whitlam values the nine freehold campuses at A$410M as at 14 August 2026, which is A$92.0M above book value. This surplus is not recognised in the statements. The LVR of 34.1% (A$140.0M over A$410M) relies on that valuation, and we have not tested the valuer's assumptions.

Contract liabilities of A$46.0M represent fees received in advance. Cash of A$22.0M therefore includes funds attributable to future teaching periods. Net debt of A$118.0M excludes lease liabilities of A$39.0M. Including them, adjusted net debt is A$157.0M, or 3.3x EBITDA. Working capital is structurally negative because of fees billed in advance. Current liabilities of A$98.0M exceed current assets of A$43.0M, which is normal for the sector but means that liquidity depends on collection of term fees on time.

The existing bank debt of A$140.0M is carried at the full facility amount, and the refinance does not change the quantum. Net assets of A$157.0M and tangible net assets of A$145.0M give a debt to tangible equity ratio of 0.97x.

6. Cash flow

A$M	FY26
EBITDA	48.0
Movement in working capital	2.0
Income tax paid	(4.6)
Interest paid on bank debt	(9.0)
Operating cash flow	36.4
Capital expenditure	(24.0)
Lease payments (principal and interest)	(5.4)
Dividends paid	(6.0)
Net change in cash	1.0
Closing cash (opening A$21.0M)	22.0

Table 5: Summary cash flow, year ended 30 June 2026

Cash conversion before interest and tax was 104% of EBITDA, helped by a A$2.0M inflow from higher fees in advance as enrolments grew. Capital expenditure was A$24.0M, of which about A$11.0M was maintenance and A$13.0M was growth and campus works. Free cash flow after capex and lease payments, but before dividends, was A$7.0M. Dividends of A$6.0M absorbed most of it. No debt was repaid during the year, consistent with the existing bank facility being repayable at maturity.

6.1 Capacity for the committed works program

The Group has a committed capex program of A$36M. Management's indicative phasing is about A$20M in FY27 and A$16M in FY28. The proposed facility is a refinance of the same A$140M and provides no new funds, so the program must be funded from operating cash flow and existing cash. Table 6 applies the proposed terms to the FY26 cash flow. It is an illustration based on the FY26 run-rate and is not a forecast.

A$M	Illustrative
FY26 operating cash flow	36.4
Additional interest on new facility	(1.0)
Scheduled amortisation (1.0% p.a.)	(1.4)
Maintenance capex	(11.0)
Lease payments	(5.4)
Cash available for works and dividends	**17.6**

Table 6: Illustrative annual cash available after debt service on FY26 run-rate

Against A$17.6M available, the program requires about A$20M in FY27 and A$16M in FY28, before dividends of about A$6M a year if the FY26 payout is maintained. On these assumptions, cash would fall by roughly A$8.4M in FY27 and A$4.4M in FY28, reducing the A$22.0M balance to about A$9M by 30 June 2028 before any EBITDA growth from the new facilities. This assumes maintenance capex stays at the FY26 level and that the QS report's cost estimate holds. The result is manageable but leaves limited headroom. We recommend the lender consider a minimum liquidity requirement and a dividend lock-up linked to leverage and works completion.

7. Leverage, coverage and sensitivities

On the proposed terms, annual scheduled amortisation is A$1.4M, so the balance at maturity in 2031 is expected to be A$133.0M, or 2.8x FY26 EBITDA. Repayment therefore depends on refinancing, which is supported by the asset cover: at maturity the same balance would represent an LVR of about 32% on the current valuation.

EBITDA change	Net leverage	Gross leverage	Interest cover
FY26 actual (A$48.0M)	2.5x	2.9x	4.8x
Down 10% (A$43.2M)	2.7x	3.2x	4.3x
Down 20% (A$38.4M)	3.1x	3.6x	3.8x
Down 30% (A$33.6M)	3.5x	4.2x	3.4x

Table 7: EBITDA sensitivity, holding net debt of A$118.0M, gross debt of A$140.0M and interest of A$10.0M constant

For interest rate risk, and assuming no hedging, a 100 basis point rise in 3M BBSW adds A$1.4M to annual interest and reduces cover to 4.2x. A 200 basis point rise adds A$2.8M and reduces cover to 3.8x. The cushion against EBITDA decline is solid, but rate and EBITDA stress together would move cover below 3.5x. The Information Memorandum does not describe a hedging strategy, and we recommend one is agreed as part of the terms.

8. Notes to the financial statements

8.1 Revenue recognition

Tuition fees are recognised over the school term in which the service is delivered, with amounts billed in advance held as contract liabilities. Government recurrent funding is recognised as revenue in the period to which the entitlement relates. Ancillary income is recognised when the service is provided. We found no unusual revenue timing, and the contract liability balance moves in line with enrolments.

8.2 Property, plant and equipment

Property is carried at cost less accumulated depreciation, with buildings depreciated over their useful lives. The Group has not adopted revaluation. Capital works in progress at year end relate to the committed program and are not depreciated until commissioned. We have not seen an impairment indicator. Occupancy of 88.4% is acceptable overall, but campus-level occupancy has not been provided to us.

8.3 Leases

The two leased campuses are recognised as right-of-use assets of A$38.0M and lease liabilities of A$39.0M. The lease liabilities fall due over the remaining lease terms. We recommend that the lender confirm lease expiry dates and renewal options, since loss of a leased campus would affect enrolments and revenue.

8.4 Employee provisions

Provisions of A$25.0M cover annual leave and long service leave. Of this, A$18.0M is classified as current. The measurement relies on assumptions about future wage growth and discount rates. A change in the discount rate could move the balance by a small amount but is not material to the credit.

8.5 Borrowings and security

The existing bank debt is secured by registered mortgages and a general security. Following the refinance, the new facility will take first registered mortgages over the nine freehold campuses and a general security deed over the Group, and the existing security will be discharged. Fitzgerald Lowe Lawyers acts for the borrower. Conditions precedent to settlement should include release of existing security, confirmation of title searches and satisfactory insurance.

8.6 Contingencies, commitments and subsequent events

The statements disclose committed capital works of A$36M. We identified no material contingent liabilities, litigation or guarantees outside the ordinary course. Based on the statements, there were no adverse subsequent events. The mandate of Aldwych Corporate Advisory Pty Ltd to arrange the refinance is recorded as an event at 30 June 2026.

8.7 Audit opinion

Tarrant Meyer Chartered Accountants issued an unmodified audit opinion on the FY26 financial statements. The opinion contains no emphasis of matter or material uncertainty paragraph related to going concern. The board audit and risk committee has reviewed the statements, consistent with the Group's listed-style governance.

9. Financial risks and mitigants

Risk	Financial effect	Mitigant
Government funding	29% of revenue	Diversified across two states; long history of funding
Fee affordability	Enrolment and fee growth	93.5% retention; 88.4% occupancy
Labour costs	61% of revenue	Fee indexation; 15.4% margin
Victorian concentration	7 of 11 schools	Four NSW campuses diversify
Capex delivery	A$36M program	QS report; cash and liquidity buffer
Interest rate	1.4M per 100 bps	Cover of 4.8x; hedging to be agreed
Refinance at 2031	A$133.0M bullet	LVR of about 32% at maturity

Table 8: Financial risk summary

The mitigants in Table 8 are supported by the audited figures but not all have been independently verified. Child safety, regulatory and reputational events remain the least quantifiable risk, because a serious incident at one campus could affect enrolment demand across the Group. We have seen no evidence in the statements of regulatory action or related provisions.

10. Matters for credit consideration

- Define EBITDA and leverage on a stated AASB 16 basis, and confirm the treatment of the A$5.4M of lease payments.
- Include a minimum liquidity requirement, given that the committed works program is expected to draw down cash over FY27 and FY28.
- Link dividends to leverage and works completion, noting that FY26 dividends were A$6.0M.
- Require an interest rate hedging policy covering a meaningful share of the A$140M.
- Obtain campus-level enrolment, revenue and EBITDA, particularly for campuses running below 85% capacity.
- Obtain the QS cost plan and a contingency analysis for the A$36M program, and confirm phasing against management's indicative A$20M and A$16M.
- Update this report on receipt of the October 2026 management accounts.

11. Limitations and outstanding information

This report relies on information provided by the Group, its advisers and the valuer, and on the audited statements. We have not independently verified enrolment data, the valuation or the QS cost estimate. Pro forma figures assume completion of the refinance on the indicative terms and an assumed BBSW level, and will change if the final terms or market rates differ. Items still outstanding are campus-level financial data, the FY27 budget, lease agreements for the two leased campuses, the hedging proposal and the October 2026 management accounts. This report does not constitute a credit approval or a recommendation to lend.

12. Sign-off

Prepared by	Tom Reardon, Senior Analyst, Ellery Partners
Reviewed by	Annika Soderstrom, Partner, Ellery Partners
Date	4 September 2026
Reference	EP-FDD-2026-0904-PEG
Distribution	Quillwood Credit Partners, credit and investment team

Analyst and reviewer sign-off